

108	Reyes-Schiller vs. Hoffman 23-01364350	1. Motion to Strike or Tax Costs 2. Motion for Attorney Fees Defendants Steven J. Hoffman, individually, and Steven J. Hoffman, Trustee of the Hoffman Exemption Trust, created under the provisions of The Robert and Bobbie Hoffman Revocable Living Trust dated January 24, 2005 move for attorney’s fees and costs in their favor against plaintiffs Audrey Reyes-Schiller and Raquel Soto in the amount of \$141,050.00 in fees and costs of \$3,345.37. Separately, Plaintiffs have moved to tax the costs claimed by Defendants. Defendants’ Motion for Attorney’s Fees Plaintiffs dismissed this entire action with prejudice on September 8, 2025. (ROA 166.) Civil Code section 1717(b)(2) provides that if “an action has been voluntarily dismissed or dismissed pursuant to a settlement of the case, there shall be no prevailing party for purposes of this section.” However, section 1717 only applies to bar attorney’s fees and costs in relation to contract claims, not tort claims. In <i>Santisas v. Goodin</i> (1998) 17 Cal.4th 599, 602, the California Supreme Court considered the issue of whether a defendant may recover attorney fees incurred in defending against an action asserting both tort and contract claims brought by a plaintiff when the plaintiff voluntarily dismisses the action before trial. The Court concluded “that in voluntary pretrial dismissal cases, Civil Code section 1717 bars recovery of attorney fees incurred in defending contract claims, but that [] Civil Code section 1717 . . . [does not] bar[] recovery of attorney fees incurred in defending tort or other noncontract claims.” (Ibid.) The Court went on to hold that the seller defendants in that action were the prevailing parties under the real estate contract with the plaintiffs, as plaintiffs did not obtain any of the relief they requested by voluntarily dismissing the action with prejudice. (Id. at p. 609.)
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	Here, the California Residential Purchase Agreement and Joint Escrow Instructions includes an attorney's fee and cost provision which provides: In any action, proceeding, or arbitration between Buyer and Seller arising out of this Agreement, the prevailing Buyer or Seller shall be entitled to reasonable attorney fees and costs from the non-prevailing Buyer or Seller, except as provided in paragraph 30A. In this action, Plaintiffs alleged that, in the sale of the property to Plaintiffs, Defendants failed to disclose hidden material defects of the property, such as covered up mold, significant flood and water damage, electrical fire damage, foundation problems, and sink holes. There can be no dispute that these allegations arise out of the Residential Purchase Agreement. All of the tort causes of action arise out of the same allegation that Defendants failed to disclose certain defects and/or represented that the property was free of defects. Based on Santisas, Defendants are entitled to attorney's fees under the contract for the tort causes of action asserted in Plaintiffs' Complaint. Plaintiffs argue that attorney's fees should not be granted because the dismissal was obtained through duress and was not voluntary. They contend that Defendants' counsel exploited Plaintiffs' pro per status by threatening Plaintiffs with a defamation suit, accusing them of real estate fraud, threatening to seek over \$100,000.00 in fees and costs, and advising them that dismissing was the best way to end the matter without disclosing that it would make Defendants prevailing parties eligible for fees. Plaintiff Reyes-Schiller states that defense counsel contacted her on September 2, 2025 and told her that she had no case and would lose in court and if she continued, he would go after her for attorney fees and legal fees over \$100,000.00 and would sue her for defamation. She further states that in response to counsel's bullying, threats, and representations, she agreed to drop the case. Counsel did not inform her that dismissing the
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	case with prejudice would expose Plaintiffs to attorney's fees under the contract. Plaintiffs have not shown that the dismissal of their action was obtained through duress. They cite case law stating that economic duress occurs when wrongful acts coerce assent with no reasonable alternative. Defendants' counsel's representation of his clients' interests in conversations with Plaintiffs is not a wrongful act. While Plaintiffs complain that counsel exploited their pro per status by threatening to seek fees and costs without explaining that Plaintiffs would be exposed to fees and costs if Plaintiffs voluntarily dismissed their action, it is clear that Plaintiffs understood that they were representing themselves after their former counsel withdrew and, therefore, they could not have reasonably relied upon defense counsel for legal advice. Thus, Plaintiffs' arguments regarding duress and unsolicited legal advice are rejected. Next, Plaintiffs contend that the number of hours for a case dismissed pre-trial is excessive and the \$650/hour rate is excessive for an Orange County real estate dispute. Counsel for Defendants has been practicing law for over 35 years and specializes in complex real estate, trust, and business litigation. His customary hourly rate for litigation of the complexity presented in this action is \$650-800/hour and his current rate for work on this action is \$650/hour. He has been lead counsel in numerous trials, arbitrations, and references and he is a principal of ClintonBailey, APC. Based on counsel's experience, the Court finds that counsel's hourly rate of \$650 is reasonable. However, the Court agrees with Plaintiffs that the number of hours claimed by counsel is excessive. Counsel billed 35 hours for "Initial Evaluation & Research" work, including analysis of the Complaint, research on trustee disclosure exemptions, and preparation of responsive pleadings (two demurrers and
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	a motion to strike). At most, the Court finds one hour to review the Complaint, two hours to research exemptions, and 15 hours to prepare the demurrers and motion to strike, to be reasonable for this straightforward real estate action. (Ketchum v. Moses (2001) 24 Cal.4th 1122, 1132; PLCM Group v. Drexler (2000) 22 Cal.4th 1084, 1096.) Counsel also billed 15 hours to draft the answer, which is 9 pages. The Court finds this to be excessive. Instead, one hour of time is reasonable for the preparation of this pleading. Counsel billed 54 hours to draft multiple sets of written discovery, responses, and objections, and review Plaintiffs’ responses and objections. While counsel details some discovery issues in his declaration, such as last-minute deposition cancellations by Plaintiffs, he provides no details regarding the extent of discovery performed. Because this was a straightforward case that likely did not involve many documents, the Court finds that written discovery was likely not extensive. Further, no discovery motions were filed. Therefore, the Court determines that 15 hours is the number of hours that reasonably could have been expended on discovery. Defense counsel claims 63 hours for preparing the two Motions for Judgment on the Pleadings, one on behalf of each Defendant. While the research and drafting of these Motions likely did take a significant amount of time, the Court finds over 30 hours for each Motion to be excessive. The Court finds a total of 30 hours, or 15 hours for each Motion, to be reasonable. The Court finds the remainder of the hours claimed to be reasonable. Based on the above deductions, the lodestar for attorney’s fees should be reduced to \$74,100.00. On April 13, 2026, Defendants filed a “supplemental motion for attorney’s fees and costs” requesting additional fees incurred in opposing Plaintiffs’ motion to set aside their dismissal. Defendants argue that they were forced to incur additional fees to oppose the
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	motion and therefore request a supplemental award of \$27,695.00 in fees and \$140.68 in costs. Plaintiffs argue the supplemental request is procedurally flawed because there is a pending appeal of the order denying the motion to set aside, Defendants have not established prevailing-party status, no allocation has been made between the contract and tort claims, rendering the entire supplemental request barred or unrecoverable, and the 42.6 hours claimed at an inflated \$650 hourly rate is excessive and unreasonable. The mere fact that Plaintiffs have filed an appeal of the order denying the motion to set aside does not divest the Court of jurisdiction over Defendants’ fee request. “[T]he trial court ‘retains jurisdiction to entertain a motion for attorney fees despite an appeal[.]’ ” (Robertson v. Rodriguez (1995) 36 Cal.App.4th 347, 360; see also Nazemi v. Tseng (1992) 5 Cal.App.4th 1633, 1639 [“In regard to the relationship between a motion for attorney’s fees and the effect of an appeal, it has been held that a motion for attorney’s fees is not premature despite a notice of appeal.”].) As Defendants point out, “a supplemental ‘cleanup’ declaration capturing additional fees incurred up to and through the date of the hearing on a fees motion . . . is a routine task in attorney fees motion practice[.]” (Catlin Ins. Co., Inc. v. Danko Meredith Law Firm, Inc. (2022) 73 Cal.App.5th 764, 783.) Thus, the Court will award Defendants fees incurred in opposing Plaintiffs’ motion to set aside the dismissal. However, the Court agrees that the requested supplemental fees are inflated. The Court will grant 10 hours for preparing the opposition, 2 hours for preparing for and appearing at the hearing, and 2 hours for reviewing the notice of appeal, client communications, and preparing the supplemental fee papers. This reflects a supplemental fee award total of \$9,100.00.
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		Plaintiffs’ Motion to Tax Costs Plaintiffs’ Motion to Tax Costs was filed on October 2, 2025. The Memorandum of Costs was filed and served by Defendants on September 10, 2025, with service by email. Therefore, Plaintiffs had 15 days plus two court days in which to file a motion contesting costs. (Cal. Rules of Court, Rule 3.1700(b)(1); Code Civ. Proc., § 1010.6(a)(3)(B).) Plaintiffs’ deadline was September 30, 2025. Plaintiffs’ Motion to Tax Costs was filed two days late on October 2, 2025. Therefore, the Motion to Tax Costs is DENIED. Based on all the above, Defendants’ Motion for Attorney’s Fees is GRANTED in the amount of \$74,100.00 plus costs of \$3,345.37, along with supplemental fees of \$9,100.00 plus supplemental costs of \$140.68. Defendants’ evidentiary objections to the Declaration of Audrey Reyes-Schiller are OVERRULED. Defendants to give notice
109	Phipps vs. Hyundai Motor America 25-01481884	1. Motion to Compel Arbitration 2. Case Management Conference Defendant Hyundai Motor America (“Defendant”) moves to compel arbitration pursuant to arbitration agreements contained in Plaintiff’s Owner’s Handbook & Warranty Information and the Bluelink Connected Services Agreement. Plaintiff Don Phipps (“Plaintiff”) untimely opposed the motion. The Court notes that the opposition was untimely filed by one Court day. Plaintiff’s counsel submitted a declaration explaining the untimeliness. (ROA 65.) In order to resolve this case on its merits, the Court will consider the late filed opposition. (Rancho Mirage Country Club Homeowners Assn. v. Hazelbaker (2016))